PT Perusahaan Gas Negara Tbk

Investment Thesis: PGAS is Indonesia's gas transmission and distribution company, offering an extremely high-yield, defensive investment play amid strong Indonesian growth as the company is entirely state owned. With Indonesia's GDP expected to grow about 5% in 2025, as domestic energy demand should remain robust. PGAS enjoys a near-monopoly in regulated natural gas infrastructure (as part of Pertamina group's gas sub-holding). The stock trades at a low ~8.2× P/E and yields ~9 to 9.1%. We expect stable earnings with modest growth and high dividends to drive >15% total return: if earnings and P/E rebound to historical levels which is likely if the US is building trade barriers globally and, and with its strong dividend, PGAS should deliver attractive upside. In summary, PGAS offers defensive stable cash flows, high current yield, and valuation upside in a growing market which can lead upwards of 15% returns.

Business Overview

PT Perusahaan Gas Negara is Indonesia's leading natural gas company. It operates the national gas pipeline network (96% of the country) plus upstream and support businesses. The company's activities span three segments: *Gas Commercial & Transmission*, *Oil & Gas Exploration & Production*, and other supporting services. Its core business is transporting and selling natural gas to industrial, commercial, and residential customers. In 2024 PGN's revenue was IDR 3,788.6 billion and net income IDR 339 billion. Gas sales (from domestic transmission/distribution) form the vast majority of revenue; a smaller portion comes from processing fees and related services. Even with the chaos of Trump's tariffs, PGAS is still up 1.55% YTD. Key facts:

- Scale: PGN's pipeline network exceeds 10000 km, serving, >2,000 customers including major power plants and industries.
- Business Mix: Nearly all revenue is from regulated gas distribution; upstream gas output is modest by comparison.D
- Key Markets: Domestic Indonesian market (no foreign sales).

Industry and Macro Overview

The natural gas sector in Indonesia is effectively a regulated utility. Demand is driven by GDP and power generation. Indonesia's economy is projected to grow ~4.8–5.0% in 2025, supporting steady energy consumption. Inflation and energy policies have been stable, enhancing investor confidence. Globally, gas is seen as a transition fuel, which bodes well for utilities. Meanwhile, PGN benefits from the government's "gas subholding" strategy under Pertamina, strengthening its pipeline of projects (e.g. the new domestic pipelines and regasification terminals). Indonesia's government has prioritized expanding the gas grid to diversify energy, which should underpin PGN's volumes. Key industry factors:

- Indonesian Growth: Robust forecast implies higher industrial and power demand for gas.

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- Energy Policy: Government supports pipeline expansions (Natuna LNG plans, new pipelines) to replace subsidized fuels. PGN as state subholding leads these initiatives.
- Regulation: Rates for gas are government-regulated; PGN historically operates with moderate returns, ROE ~10%, but gains if tariffs adjust with inflation and demand.
- Market Trends: Gas competes with coal and renewables in power generation. While renewables are rising, base-load gas demand remains strong in Indonesia.

In summary, PGN operates in a stable, government-backed utility sector amid favorable economic growth and energy policy tailwinds.

Competition

PGN faces virtually no direct domestic competitor in pipeline gas distribution – it is the incumbent utility. Its alignment under Pertamina's holding (which now owns 100% of PGN) means it effectively *is* the national gas distributor. Indirect competition comes from alternative fuels: coal and diesel for power generation or fuel imports, but PGN's lower-carbon profile gives it an advantage as Indonesia targets cleaner energy. In pipeline construction and maintenance, PGN may partner with or compete for contracts alongside Pertamina's other subsidiaries, but these synergies further strengthen PGN's position. On the global stage, PGN's peers are other regulated gas utilities (e.g. Malaysia's Petronas Gas or Thailand's PTT), but PGN's local monopoly and state support make its risk profile more akin to a "utility" than an oil/gas explorer.

Management Overview

PGN's management is experienced and tied to state energy leadership. The President Director is Arief Setiawan Handoko (a veteran of Indonesia's energy sector) and the Independent President Commissioner is Amien Sunaryadi. Other board members include directors of operations and finance with long tenures in Pertamina/PGN group. PGN's leadership emphasizes operational efficiency and growth of the gas network. While management is state-appointed, their track record has been one of stable profitability and high dividend payouts. Shareholder communications (annual reports) highlight incremental pipeline expansions under their tenure.

Ownership Structure

PGN is majority owned by the Indonesian government via state oil company Pertamina. In 2018 the government merged PGN into Pertamina's upstream/downstream structures, making PGN the "gas sub-holding". Effectively, Pertamina (Persero) now holds 100% of PGN's shares (PGN is a "Persero Tbk", meaning the government is the sole controlling shareholder). The remaining shares are publicly traded in Jakarta but liquidity is limited; essentially no foreign strategic investor is involved. The state ownership ensures alignment with national energy goals but also limits risk of hostile takeovers. Importantly, this structure protects PGN from the geopolitical volatility in global markets (e.g. no Russia exposure) and ties it to Indonesia's stable political environment.

Valuation

PGN's valuation is compelling on both absolute and relative terms. It trades at ~8.2× P/E, well below its historical 10-year average (~11×) and far below global utility peers. Its dividend yield is ~9.1%, reflecting a very high free-cash-flow payout (nearly 100% of earnings). This yield alone is a major part of the expected return. For example, if PGN's price holds steady, investors earn 9% just from dividends.

We project total returns by combining dividend yield and expected modest price gains. Assuming Indonesian gas demand grows ~4% and PGN raises tariffs modestly, we model ~5% annual EPS growth. If PGN's P/E rerates to a conservative 10× (still below global utility norms), the stock would appreciate ~22% from current levels, plus 9% yield for ~31% total over one year. Even with more conservative assumptions (P/E remaining at 8× and only flat EPS), the 9% yield covers most of a 15% target; a slight EPS recovery (as in 2024's +22% net profit) would push total return above 15%.

Put numerically, PGN's forward FCF yield is roughly 9–10% (matching its dividend), and it trades at ~0.6× price/EV-to-EBITDA (assuming ~IDR1,271b debt). Its net income growth was +22% in 2024, demonstrating operating leverage on flat revenues. Overall, we value PGN at a mid-teens return target, supported by its 8–10× earnings multiple and high yield.

For transparency, my valuation assumptions and sensitivity:

Scenario	Div Yield	P/E	EPS	1 Yr return
Bull	9.1%	12×	+8%	>40%
Bear	9.1%	8×	+3%	~12%
Base	9.1%	10×	+5%	~28%

Conclusion

Its defensive utility franchise, state ownership, and strong dividend make it resilient in downturns. At the same time, Indonesia's robust growth and energy expansion plan position PGN for stable earnings growth. The current valuation (8× P/E, 9% yield) implies minimal downside and significant upside if economic/sector improvements occur. We thus recommend a long position in PT Perusahaan Gas Negara (PGAS.JK) for Spring 2025, expecting a total return above 15%